unlike many ETNs, XBT Provider is at all times fully hedged, meaning it holds the underlying bitcoin equal to the value of the ETN. This can significantly reduce reliance on XBT Provider's credit quality because even if the company goes bankrupt there should still be the underlying bitcoin in place to reimburse investors. As stated on the website, "XBT Provider do[es] not have any market risk. The company always holds bitcoins equivalent to the value of ETNs issued."[26]

In mid-2016, XBT Provider was purchased by Global Advisors (Jersey) Limited (GABI) after XBT Provider's main stockholder, KnCMiner, declared bankruptcy. KnCMiner had long been a bitcoin mining company and producer of bitcoin mining rigs. With an ETN the credibility of the underlying issuer is paramount, and GABI recognized that as well. Following KnC's bankruptcy, trading of XBT Provider's two ETNs temporarily paused as a new guarantor was pursued, with GABI ultimately coming to the rescue.[27]

The GABI team is led by Jean-Marie Mognetti and Daniel Masters, who cut their teeth as commodities traders at Lehman Brothers and JPMorgan respectively. They bring considerable capital markets experience to the bitcoin space. Prior to purchasing XBT Provider, GABI had created a bitcoin fund intended for institutional investors called the GABI.[28] The fund is domiciled in Jersey, United Kingdom, an area known for its innovative approach to regulation, similar to the Cayman Islands. By purchasing XBT Provider, GABI strengthened the reliability of the counterparty to the bitcoin ETNs and added a nice asset to its growing bitcoin investing